

23SMCV05886 23SMCV05886

County: los-angeles

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Case Number: 23SMCV05886 Hearing Date: September 14, 2026 Dept: 205

Court of California

County of Los Angeles – West District

Beverly Hills Courthouse / Department 205

PRECISE GENERAL CONTRACTOR, INC.,

Plaintiff,

v.

BLACKBRIAR DEVELOPMENT CORPORATION, et al.,

Defendants.

Case No.: 23SMCV05886

Date: September 14, 2026

ORDER RE:

BLACKBRIAR DEVELOPMENT AND

JOELLE RIMOKH'S MOTION

FOR LEAVE TO FILE CROSS-

COMPLAINT

BACKGROUND

This case arises from a dispute between a general contractor and a subcontractor. Plaintiff Precise General Contractor Inc. entered into a written agreement with Defendant Blackbriar Development Corporation for drywall work relating to real property located in Beverly Hills (the "Property"). Precise sued Blackbriar, claiming it failed to pay invoices of over \$168,000.

The operative complaint alleges claims of (1) breach of contract, (2) foreclosure on mechanic's lien, (3) recovery on mechanic's lien release bond, (4) recovery on contractor's license bond, (5) open book account, (6) account stated, (7) quantum meruit, and (8) prompt payment penalties. Blackbriar filed an answer without any cross-claims.

This hearing is on Blackbriar's motion for leave to file cross-complaint. Blackbriar seeks to recover losses associated with having to hire a replacement contractor as a result of Precise's alleged partial and defective performance. Blackbriar also seeks to add Western Surety Corporation, which issued a contractor's bond to Precise.

Blackbriar claims it did not include these cross-claims at the time it filed its answer because it could not yet determine whether or the extent to which, Precise's failure to complete the project damaged Blackbriar. Blackbriar has finished Precise's work and is now able to quantify its damages against Precise. Blackbriar seeks leave to add claims for (1) breach of contract, (2) negligence, (3) disgorgement and (4) on contractors' license bond.

Precise has filed a limited and late opposition to the motion for leave to file cross-complaint. Precise argues that it did not file a timely opposition because at the time its opposition was due, it believed that the Court would grant the parties' stipulation to continue the trial and trial related deadlines. The Court denied the stipulation after Precise's deadline to file an opposition had passed, and now that there is no continuance,

Precise argues it will be prejudiced by the amendment because it (and Blackbriar) will have limited time to conduct discovery on the new claims. Precise argues that if the Court is inclined to grant the motion for leave to file the cross-complaint, the Court should vacate its prior ruling and continue the trial and trial-related dates. Precise seeks a 10-month continuance to September 2, 2027. Alternatively, Precise asks the Court to impose "such other terms or case-management measures" as will prevent the prejudice to the parties.

LEGAL STANDARDS

Code of Civil Procedure section 428.10, subdivision (b), authorizes a party against whom a cause of action has been asserted to file a cross-complaint alleging a cause of action against a person alleged to be liable thereon, whether or not that person is already a party, when the proposed cause of action "(1) arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him or (2) asserts a claim, right, or interest in the property or controversy which is the subject of the cause brought against him." (Code Civ. Proc., § 428.10, subd. (b).)

A party may file a cross-complaint against a co-party or another person before the court sets a trial date. (Code Civ. Proc., § 428.50(b).) Here, trial has already been set (for November 2, 2026.) Once a trial date has been set, the party must obtain leave of court, which "may be granted in the interest of justice at any time during the course of the action." (Code Civ. Proc., § 428.50(c).)

DISCUSSION

Code of Civil Procedure section 426.50 governs compulsory counterclaims. It states: “A party who fails to plead a cause of action subject to the requirements of this article [on compulsory cross-complaints], whether through oversight, inadvertence, mistake, neglect, or other cause, may apply to the court for leave ... to file a cross-complaint, to assert such cause at any time during the course of the action. The court ... shall grant ... leave ... to file the cross-complaint, to assert such cause if the party who failed to plead the cause acted in good faith. This subdivision shall be liberally construed to avoid forfeiture of causes of action.” (Code Civ. Proc., § 426.50.)

If the proposed cross-claims are compulsory, then leave must be granted unless there is “substantial evidence” of “bad faith of the moving party,” i.e., “dishonest purpose, moral obliquity, sinister motive, furtive design or ill will.” (Silver Organizations Ltd. v. Frank (1990) 217 Cal.App.3d 94, 98-100; see Code Civ. Proc., §§ 426.10, subd. (c), 426.50.) This reflects the policy against forfeiture of causes of action, because compulsory-cross-claims cannot be asserted in any subsequent action brought by the putative cross-complainant against the plaintiff; they must be asserted in the action initiated by the plaintiff or else they are forfeited. (Code Civ. Pro. section 426.30.)

A compulsory counterclaim is “a claim tending to diminish the plaintiff’s recovery; it must permit a several judgment between the parties; and it must arise out of the same ‘transaction’ as that which produced the plaintiff’s original action. This claim is often described as a ‘transaction counterclaim.’” (Ranchers Bank v. Pressman (1971) 19 Cal.App.3d 612, 620.) A compulsory counterclaim must exist at the time of the filing of the complaint.

Code of Civil Procedure section 428.10 governs permissive cross-complaints. It provides in relevant part: “A party against whom a cause of action has been asserted . . . may file a cross-complaint setting forth [¶] . . . [¶] (b) Any cause of action he has against a person alleged to be liable thereon, whether or not such person is already a party to the action, if the cause of action asserted in his cross-complaint (1) arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him.” (Code Civ. Proc., § 428.10, subd. (b), italics added.)

If the proposed cross-claims are permissive, then leave should be granted “in the interests of justice.” (Code Civ. Proc., § 428.50, subd. (c).) “Unless it would interfere with the trial date or otherwise prejudice the action, courts are inclined to grant leave to file [a permissive] cross-complaint against the plaintiff.” (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2023) ¶ 6:564.) This “reflects the judicial policy of settling all disputes between plaintiff and defendant in the same lawsuit if possible.” (Ibid.)

Here, Blackbriar’s proposed cross-complaint against Precise is a compulsory cross-complaint because it arises from the same transaction as the complaint – namely Precise’s alleged defective drywall work on the Property. Where the cross-complaint is compulsory, the Court is required to grant leave to amend unless there is substantial evidence of bad faith on the part of moving party. (Silver Organizations Ltd. v. Frank (1990) 217 Cal.App.3d 94, 98-100.)

“Substantial evidence” is evidence “of ponderable legal significance, . . . reasonable in nature, credible, and of solid value.” (Bowers v. Bernards (1984) 150 Cal.App.3d 870, 873, italics in original.) “Bad faith” involves “actual or constructive fraud, or a design to mislead or deceive another, or a neglect or refusal to fulfill some duty or some contractual obligation, not prompted by an honest mistake . . . , but by some interested or sinister motive[.] . . . not simply bad judgment or negligence, but rather . . . the conscious doing of a wrong because of dishonest purpose or moral obliquity; . . . it contemplates a state of mind affirmatively operating with furtive design or ill will. [Citation.] [Citations.]” (Pugh v. See’s Candies, Inc. (1988) 203 Cal.App.3d 743, 764.)

Blackbriar has filed a declaration from its CEO and President stating that Blackbriar did not file the cross-claims earlier because it had not yet determined if it was damaged at all by Precise’s defective performance. There is no evidence of any dishonest purpose or fraud on the part of Blackbriar.

Plaintiff’s limited opposition claims that it will be prejudiced by the filing of the proposed cross-complaint because it will not have an opportunity to conduct discovery as trial is set to start on November 2, 2026. Courts have held that bad faith may be shown by evidence of delay that would work a substantial injustice to the opposing party and would prejudice that party’s position in some way. (Foot’s Transfer & Storage Co. v. Superior Court (1980) 114 Cal.App.3d 897, 904 (citing Gherman v.

Colburn (1977) 72 Cal.App.3d 544, 559.) There is no evidence of a delay. Accordingly, the Court must grant Blackbriar leave to file the cross-complaint against Precise.

As to Western, the cross-complaint is permissive as Western is not currently a party in this action. "Permission to file a permissive cross-complaint is solely within the trial court's discretion." (Crocker Nat. Bank. v. Emerald (1990) 221 Cal.App.3d 852, 864; see Orient Handel v. United States Fid. & Guar. Co. (1987) 192 Cal.App.3d 684, 701.) Factors considered are judicial efficiency, fairness to the parties, the interests of justice, and delay in seeking court's permission to file the cross-complaint. (Crocker, 221 Cal.App.3d at 864.)

Here, judicial efficiency supports trying the proposed cross-claims against Western Surety with the main action. Precise seeks compensation for its work. Blackbriar alleges the work was defective, and in fact, it is entitled to sue Precise's bond company for damages incurred due to Precise's willful and deliberate violations of the contractor's license law.

Blackbriar does not clearly say when it first obtained knowledge of Precise's alleged violations of the contractors license law. The proposed cross-complaint does not even clearly state what Precise did to violate the contractor's license law. It simply cites to several statutes (Business and Professions Code §§7108, 7108.5, 7109, and 7120) which deal with the diversion and misuse of progress payments and failure to keep accurate records.

Further, trial is less than two months away, and Western Surety has not been involved in this action including obtaining discovery relating to whether it has defenses based on the validity or existence of the claim, possible breach of contract or fault of Precise, non-compliance with bond conditions, scope of coverage defenses and other procedural and statutory defenses.

On these facts, the Court would normally deny leave to file because both Western and Plaintiff would be prejudiced by the addition of Western Surety. However, any prejudice may be mitigated by a continuance.

Precise proposes a 10-month continuance to September 12, 2027. The Court will grant a continuance to September 13, 2027 at 8:30 a.m. (September 12 is a Sunday). The Final Status Conference is continued to September 13, 2027 at 8:30 a.m. Should the parties require a further continuance, they may file a motion to continue trial.

CONCLUSION AND ORDER

For the foregoing reasons, the Court GRANTS the motion for leave to file a cross-complaint against Precise and Western Surety, and continues the trial and all trial related deadlines. The trial is continued to September 13, 2027, and the final status conference is continued to September 3, 2027.

IT IS SO ORDERED.

DATED: September 14, 2026 _____

Edward B. Moreton, Jr.

Judge of the Superior Court